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HOURLY RATE – IN TERMS OF SECTION 10 (3)

Calculations of hourly wages is based on actual hours worked. Formula: Remuneration divided by 4.333 + 45 = daily rate. How hourly rate is determined of for example a person who earn N\$500.00 per month.

N\$500.00 divided by 4.333 = N\$115.39 this is salary per week.

N\$115.39 divided by 45 hours per week = N\$2.56 per hour.

Subject to section 12 (6) (a) an employer may not reduce an employee remuneration by more than one half of the employees basic wages of operational reasons.

Example: N\$500.00 divided by 2 = N\$250.00

Calculations of Rations

How to determine daily rate: Weekly wage divided by days worked in the week e.g. a person working 5 to 6 days p/week.

N\$500.00 divided by 4.333 = N\$115.39 divided by the number of day p/week.

Eg. N\$115.39 divided by 6 = N\$19.23 is the daily

rate for those who work 6 days in a week.
N\$115.39 divided by 5 = N\$23.07, daily rate for those who work 5 days in a week.

OVERTIME – IN TERMS OF SECTION 17 (2)

Normal overtime is calculated at the rate of 1.5 per hour. This one and one half of the hourly rate.

E.g. N\$500.00 divided by 4.333 = N\$115.39 weekly rate N\$115.39 divided by hours = N\$2.65 x 1.5, this is one and one half of the hourly rate.

N\$2.56 x N\$1.5 x hours worked (e.g. 3) = N\$11.52

SUNDAY AND PUBLIC HOLIDAYS – IN TERMS OF SECTION 21 (5)

These are calculated at double rate of the hourly rate. E.g. N\$2.56 x 2 = N\$5.12 times the time worked.

ANNUAL LEAVE

Annual leave in terms of section 23 (2)

Annual leave is calculated as follows: remuneration divided by 4.333 and divided by days worked p/week x accrued leave days.

Example: N\$500.00 divided by 4.333 = N\$115.39 divided by 5 = N\$23.07 x 13 (accrued leave days) = N\$300.02

Number p/ week	Leave entitlement	Prorata calculation	Prorata
6	24	24 ÷ 12	2
5	20	20 ÷ 12	1.666
4	16	16 ÷ 12	1.333
3	12	12 ÷ 12	1
2	8	8 ÷ 12	0.666
1	4	4 ÷ 12	0.333

SEVERANCE ALLOWANCE – IN TERMS SECTION 35 (3)

Severance allowance is calculated as follows:

Remuneration divided by 4.333 and multiplied by years of continuous services.

E.g. N\$500.00 divided by 4.333 = N\$115.39 times the years of worked continuous.

NIGHT ALLOWANCE – IN TERMS OF SECTION 19 (1)

Night work means work between 20h00 to 07h00.

Employees who do night work must be paid their normal rate plus 6%.

Example: N\$500.00 divided by 4.333 = N\$115.39 p/week

N\$115.39 divided by hours p/week = N\$2.56 p/hour

N\$2.56 x 3 (hours worked) = N\$7.68 + 6% = N\$8.14

LIVING AWAY ALLOWANCE

(As per Government Gazette in Construction Sector)

In the construction industry, living away allowances are calculated at 12% of the hourly wage.

Example: N\$500.00 divided by 4.333 = N\$115.39 N\$115.39 divided by 45 = N\$2.56 x 12 divided by 100 = N\$0.31 x hours away.

SERVICE ALLOWANCE

(As per Government Gazette in Construction Sector)

Service allowance in the **construction sector** to the amount of 120 hours of employees wage should be paid as part of December remuneration.

Example: Hourly rate (N\$11.11 for laborer) x 120 hours = N\$1333.20